IB Economics - Topic 1.2: Teacher and AI Grading Guide

How do economists approach the world? | SL/HL | Questions 1-50

Scope and assessment status

This guide accompanies exactly 50 original paired questions: part (a) 10 marks and part (b) 15 marks. All assess shared SL/HL content. The bank contains 10 Easy, 25 Medium and 15 Hard pairs, distributed throughout. Difficulty concerns the full pair and is independent of syllabus level.

The official Topic 1.2 syllabus specifies AO2 depth and no compulsory diagrams or calculations. The 15-mark evaluation tasks are adapted Paper 1-style extensions of these introductory concepts. They are not claimed to be official Topic 1.2 assessment demands. This is original educational guidance, not official IB marking material.

Following the request for 50 pairs, foundational concepts recur, but the questions vary the explanatory mechanism, evidence problem, comparison or evaluative proposition. They should be selected for practice rather than treated as 50 separate syllabus outcomes. No student must master later-topic technical models to answer these questions.

Coverage blueprint

Positive economics, logic and evidence: 1-3, 5, 8, 11-15, 22-23

Hypotheses, theories, models and ceteris paribus: 2-4, 6-14, 23-25, 50

Normative economics, equity and equality: 1, 15-21, 35

Smith and laissez faire: 26-28

Nineteenth-century thought: 29-35: utility, margin, Say and Marx

Twentieth-century thought: 36-41: Keynes, monetarism and new classical thought

Twenty-first-century developments: 42-49: psychology, behavioural economics and circular economy

The reference on each entry identifies Topic 1.2 content and a descriptive assessment focus; these descriptions are not invented official subtopic codes. Questions may integrate methodology with a historical development.

Marking principles and source basis

Give a best-fit mark for each part, then total out of 25. The guidance describes valid routes and essential distinctions rather than a marks-per-keyword scheme. Do not require every suggested point, author or example. Credit sound alternative reasoning that addresses the actual question.

Part (a): explanation and analysis

Use the bands 0, 1-2, 3-4, 5-6, 7-8 and 9-10 to distinguish no relevant achievement, limited response, relevant description, partial explanation, clear explanation and a fully developed answer to the task. Assess definitions, connected reasoning, relevant application and accurate terminology together. A short list or definitions alone are insufficient for the highest band.

Part (b): application and evaluation

Use the bands 0, 1-3, 4-6, 7-9, 10-12 and 13-15 to distinguish no relevant achievement, very limited response, superficial analysis, developed but unbalanced analysis, balanced evaluation, and sustained evaluation with well-supported judgment. Real examples must be explained in relation to the proposition. These are abridged practice descriptors, not reproduced official IB markbands.

Examples, evidence and scope

The lettered cases refer to the source register. Historical events are real-world examples where relevant. A named thinker or an award alone is not developed application: explain the idea, evidence or episode and its relevance. A hypothetical illustration can clarify a mechanism but does not replace a requested real example. Do not infer a universal causal effect from a descriptive case. No precise statistics or quotations are mandatory.

Diagrams and AI grading

No question requires a diagram. Do not penalise an otherwise complete answer for omitting one, and do not require HL behavioural diagrams, utility maximisation, AD-AS, Phillips curves, money-market or welfare diagrams. If a student voluntarily uses a diagram, check labels, relationships and explanation; flag unclear features rather than assuming correctness. Assess the quality of reasoning rather than artistic presentation.

For every response, record marks for (a) and (b), evidence supporting the band choices, conceptual errors, the quality of example application, and one actionable improvement for each part. Distinguish a defensible value judgment from a factual mistake. Do not reward a politically preferred conclusion or require agreement with a historical school.

Sources and difficulty

Scope follows the IB Economics guide, printed pp. 23-24. The uploaded SL/HL subject briefs confirm level coverage. Tragakes, Economics for the IB Diploma, second edition (2012), printed pp. 7-12, is a supplementary check on methodology; its older syllabus numbering is not adopted. Primary texts and institutional sources check historical ideas and cases. Easy pairs use direct distinctions; Medium pairs link mechanisms and qualifications; Hard pairs require competing explanations, careful scope distinctions or judgments across perspectives.

Question 1

Easy | SL/HL | 25 marks

Topic 1.2: Positive economics; Distinguishing testable claims from judgments

(a) [10] Explain the difference between positive and normative statements in economic policy debates.

(b) [15] Using real-world examples, discuss whether economic policy decisions can be based entirely on positive economics.

Part (a) - Indicative answer and marking guidance

Essential concepts. Positive economics describes or explains what is, using claims assessable against evidence. Normative economics concerns what ought to be and involves value judgments.

Required reasoning. Explain testability and value content, using both a factual or causal claim and a statement about a desired outcome. A positive claim may prove false; a normative claim is not made factual by widespread agreement. Show how both can enter one policy debate.

Common misconceptions. Defining positive as beneficial or correct; defining normative as false; assuming the word should is the only way to recognise a value judgment.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Evidence can identify constraints, likely consequences and whether a chosen objective has been achieved. This can make policy more informed and accountable.

Counterarguments and conditions. Selecting objectives and comparing consequences for different people involves values. Agreement on predicted effects need not imply agreement on the preferred policy.

Application. B: NHS access based on clinical need illustrates an explicit objective; empirical service outcomes can inform how it is pursued.

High-quality judgment. Distinguish selecting ends from investigating means. A strong judgment explains why evidence matters without claiming it uniquely determines the ends.

Question 2

Medium | SL/HL | 25 marks

Topic 1.2: Hypotheses and refutation; Moving from observation to a testable explanation

(a) [10] Explain how economists can develop and test a hypothesis about household saving.

(b) [15] Using real-world examples, evaluate the importance of empirical evidence in developing economic theories.

Part (a) - Indicative answer and marking guidance

Essential concepts. A hypothesis is a proposed testable relationship. A theory explains related phenomena; a model is a simplified representation. Refutation is evidence-based rejection of a claim under its relevant conditions.

Required reasoning. Identify a proposed relationship, specify its conditions and derive an observable implication. Compare it with suitable evidence and consider whether other influences explain the result. Explain revision or further testing; do not require statistical estimation.

Common misconceptions. Offering an untestable opinion as a hypothesis; equating a matching observation with permanent proof; asserting that a hypothesis is a theory merely because it sounds plausible.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Evidence can challenge intuition, reveal regularities and identify the conditions under which a proposed explanation works.

Counterarguments and conditions. Observations require interpretation through concepts and assumptions. Incomplete or context-specific data can support competing explanations; theory also helps decide what to measure.

Application. A: Bank of England forecast review. The saving survey used in Topic 1.1 is also acceptable if the student identifies a genuinely testable claim rather than only a trend.

High-quality judgment. Explain the reciprocal relationship between evidence and theory. Neither evidence-free speculation nor unstructured data collection is sufficient.

Question 3

Hard | SL/HL | 25 marks

Topic 1.2: Logic and evidence; Valid inference versus accurate premises

(a) [10] Explain why a logically consistent economic argument may still produce an inaccurate prediction.

(b) [15] Using real-world examples, discuss the view that logical reasoning is more important than empirical evidence in economics.

Part (a) - Indicative answer and marking guidance

Essential concepts. Logic concerns whether a conclusion follows from premises. Empirical evidence comes from observation or experiment. An association alone does not establish a causal mechanism.

Required reasoning. Trace a conclusion from stated premises, then distinguish logical consistency from the truth or applicability of those premises. An omitted influence or unsuitable assumption can make a valid conditional inference a poor account of a particular event.

Common misconceptions. Calling all unsuccessful predictions illogical; treating observed agreement as proof that every premise is correct; confusing a value judgment with a faulty inference.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Logic exposes contradictions and connects assumptions to implications, making explanations coherent and testable.

Counterarguments and conditions. Evidence assesses whether assumptions and proposed relationships fit the relevant setting. Accurate data without coherent interpretation and coherent reasoning without factual relevance are both limited.

Application. A: the forecasting review distinguishes the analytical framework from data, unexpected developments and the process of learning from errors.

High-quality judgment. Compare the functions of logic and observation rather than awarding absolute priority. A strong answer explains how each disciplines the other.

Question 4

Medium | SL/HL | 25 marks

Topic 1.2: Ceteris paribus; Isolating an influence

(a) [10] Explain how the ceteris paribus assumption helps economists investigate the relationship between two variables.

(b) [15] Using real-world examples, evaluate the usefulness of ceteris paribus reasoning when several economic conditions change simultaneously.

Part (a) - Indicative answer and marking guidance

Essential concepts. Ceteris paribus means other relevant influences are held constant for analysis. A conditional claim applies under stated assumptions, which need not describe every observed situation.

Required reasoning. Identify a relationship and other potentially relevant influences. Holding the latter constant isolates the proposed effect and makes the prediction conditional. Explain why an actual observation with several changes need not reveal that isolated effect.

Common misconceptions. Saying all variables must remain unchanged; treating the assumption as a description of the whole economy; concluding that simultaneous changes make reasoning impossible.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Isolation clarifies a mechanism and prevents attributing every observed change to one factor. It provides a starting point for structured comparison.

Counterarguments and conditions. Its application becomes misleading if other changing influences are important and ignored. The analyst must examine how several conditional effects interact in the actual setting.

Application. C: pension participation changed alongside automatic enrolment, employer contributions and other circumstances; a simple before-after comparison does not isolate one influence.

High-quality judgment. Judge usefulness as an analytical tool separately from realism as a complete description. State when additional evidence or assumptions are needed.

Question 5

Medium | SL/HL | 25 marks

Topic 1.2: Logic and evidence; Association and causal attribution

(a) [10] Explain why a correlation between two economic variables may not establish a causal relationship.

(b) [15] Using real-world examples, discuss whether governments should act on an observed economic relationship before its causes are fully understood.

Part (a) - Indicative answer and marking guidance

Essential concepts. Logic concerns whether a conclusion follows from premises. Empirical evidence comes from observation or experiment. An association alone does not establish a causal mechanism.

Required reasoning. Explain a common influence on both variables and the possibility that causation runs in the opposite direction. Show why these produce similar observations but different causal interpretations. No econometric method or numerical test is required.

Common misconceptions. Claiming correlation can never inform causation; assuming every correlation is coincidental; requiring statistical formulas in place of an explanation.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. An observed relationship can provide useful warning evidence, especially when delay could impose substantial costs and a plausible mechanism exists.

Counterarguments and conditions. Intervening on the wrong cause can fail or create unintended consequences. The decision depends on evidence quality, urgency, reversibility and whether more information can be obtained.

Application. C: the association between enrolment arrangements and pension participation supports discussion of evidence while leaving room for other influences.

High-quality judgment. A strong judgment compares the cost of waiting with the cost of acting on a mistaken explanation. It should avoid both automatic action and a demand for absolute certainty.

Question 6

Easy | SL/HL | 25 marks

Topic 1.2: Hypotheses and refutation; Learning from contradictory evidence

(a) [10] Explain how evidence that conflicts with an economic hypothesis can lead economists to revise their explanation.

(b) [15] Using real-world examples, evaluate the view that unsuccessful predictions are valuable for the development of economics.

Part (a) - Indicative answer and marking guidance

Essential concepts. A hypothesis is a proposed testable relationship. A theory explains related phenomena; a model is a simplified representation. Refutation is evidence-based rejection of a claim under its relevant conditions.

Required reasoning. Compare the prediction with the observation, check whether the relevant conditions held and identify whether the hypothesis, an auxiliary assumption or the evidence requires revision. Explain a further implication that could be tested.

Common misconceptions. Treating any mismatch as automatic disproof of all economics; protecting a hypothesis from every possible challenge; equating revision with abandoning evidence.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Errors can expose missing mechanisms, unsuitable assumptions or poor measurement, prompting better explanations and more informative tests.

Counterarguments and conditions. An isolated error can reflect unusual conditions rather than a general theoretical failure. Repeated mistakes are only useful if investigated rather than ignored or rationalised.

Application. A: the Bernanke review explicitly treats learning from forecasting errors as a way to improve analysis.

High-quality judgment. Judge the value of an error by the disciplined learning it produces, not by the mere fact that a prediction failed.

Question 7

Hard | SL/HL | 25 marks

Topic 1.2: Hypotheses and refutation; Support versus proof

(a) [10] Explain why repeated observations consistent with an economic theory do not establish that it is universally true.

(b) [15] Using real-world examples, discuss whether a theory should be accepted when it has not yet been refuted.

Part (a) - Indicative answer and marking guidance

Essential concepts. A hypothesis is a proposed testable relationship. A theory explains related phenomena; a model is a simplified representation. Refutation is evidence-based rejection of a claim under its relevant conditions.

Required reasoning. Evidence covers selected people, periods and circumstances. Several explanations may fit those observations, and a theory may depend on conditions absent elsewhere. Repeated support can increase confidence without establishing universal applicability.

Common misconceptions. Treating lack of refutation as certainty; claiming that evidence can never increase confidence; ignoring the scope in which a theory is tested.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Provisionally accepting a well-supported explanation enables useful analysis and decisions where waiting for certainty is impossible.

Counterarguments and conditions. A theory may survive because relevant tests are weak or unavailable. Acceptance should depend on test quality, competing explanations and openness to revision.

Application. D: psychological research challenged some previously common assumptions about choice. Identify the assumption being examined; an award alone is not empirical proof.

High-quality judgment. Distinguish provisional acceptance from unconditional truth. Strong answers explain what further evidence could change the judgment.

Question 8

Medium | SL/HL | 25 marks

Topic 1.2: Logic and evidence; Transferring findings between settings

(a) [10] Explain two reasons why evidence from one economy may not support the same conclusion in another economy.

(b) [15] Using real-world examples, evaluate the view that economic policies supported by evidence in one country should be adopted elsewhere.

Part (a) - Indicative answer and marking guidance

Essential concepts. Logic concerns whether a conclusion follows from premises. Empirical evidence comes from observation or experiment. An association alone does not establish a causal mechanism.

Required reasoning. Develop differences in the people or institutions observed and differences in surrounding economic conditions or implementation. Explain how each can change the relevance of the original relationship, rather than merely listing national differences.

Common misconceptions. Assuming all countries are incomparable; treating a successful outcome as sufficient evidence of the policy mechanism; asserting that national identity itself explains outcomes.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Existing evidence offers a useful starting point and can reduce the cost of learning. Similar mechanisms may operate across economies.

Counterarguments and conditions. Different conditions, objectives and implementation can alter outcomes. Local investigation or adaptation may be needed, and success against one objective may be insufficient for another.

Application. C: use UK pension enrolment as a potential lesson, explicitly considering different employment arrangements elsewhere. B provides an alternative health-allocation context.

High-quality judgment. Specify which features must be sufficiently similar for transfer to be justified. A conditional recommendation is more persuasive than imitation or rejection by default.

Question 9

Hard | SL/HL | 25 marks

Topic 1.2: Models and theories; Purposeful simplification

(a) [10] Explain why economists deliberately exclude some features of reality when constructing a model.

(b) [15] Using real-world examples, discuss the view that a more detailed economic model is always more useful.

Part (a) - Indicative answer and marking guidance

Essential concepts. A model simplifies selected relationships for a purpose. Assumptions define its scope. Explanation, conditional prediction and policy comparison are different possible uses.

Required reasoning. A model selects variables relevant to a question and makes relationships manageable and transparent. Excluding detail can isolate mechanisms, but excluding a decisive influence can mislead. Explain the purpose behind inclusion and exclusion.

Common misconceptions. Equating simplification with falsification; assuming every added variable improves an explanation; demanding a particular later-topic model.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Additional detail can represent important differences and interactions that a simpler model misses.

Counterarguments and conditions. Extra detail can obscure causal reasoning, require weakly measured inputs and increase complexity without improving the task. A simple model can be more informative for a limited question.

Application. A: forecasting infrastructure and model review provide a real setting for balancing richer analysis with clarity and usability.

High-quality judgment. Evaluate usefulness relative to purpose and evidence, not the number of features included. Distinguish explanatory transparency from realistic description.

Question 10

Medium | SL/HL | 25 marks

Topic 1.2: Models and theories; Boundary conditions and applicability

(a) [10] Explain how the assumptions of an economic model determine the circumstances in which it can be applied.

(b) [15] Using real-world examples, evaluate whether an economic model should be rejected when its assumptions are not fully realistic.

Part (a) - Indicative answer and marking guidance

Essential concepts. A model simplifies selected relationships for a purpose. Assumptions define its scope. Explanation, conditional prediction and policy comparison are different possible uses.

Required reasoning. State how assumptions restrict the population, setting or relationships considered. Explain why an assumption may be harmless for one task but decisive for another. Assess the consequences of relaxing it rather than judging realism in isolation.

Common misconceptions. Requiring literal realism in every detail; assuming good prediction excuses every misuse; changing assumptions without considering changed conclusions.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Unrealistic assumptions can exclude important behaviour and generate misleading policy conclusions in some settings.

Counterarguments and conditions. Simplification is unavoidable, and a model can identify a robust mechanism despite imperfect realism. The importance of the discrepancy and the purpose of the exercise matter.

Application. D: behavioural research offers examples of assumptions about choice being tested and modified. A can illustrate adjustments to forecasting assumptions.

High-quality judgment. Explain which assumptions are material to the result and whether the model remains useful in a defined domain. Avoid an all-or-nothing verdict.

Question 11

Easy | SL/HL | 25 marks

Topic 1.2: Positive economics; Conditional predictions

(a) [10] Explain the difference between a conditional economic prediction and an unconditional statement about what will happen.

(b) [15] Using real-world examples, discuss the importance of stating assumptions when communicating economic forecasts.

Part (a) - Indicative answer and marking guidance

Essential concepts. Positive economics describes or explains what is, using claims assessable against evidence. Normative economics concerns what ought to be and involves value judgments.

Required reasoning. A conditional prediction links an outcome to specified circumstances; an unconditional statement does not make those dependencies explicit. Explain how a change in a conditioning assumption can alter the projected outcome without establishing a logical contradiction.

Common misconceptions. Treating conditional as untestable; confusing uncertainty with a normative judgment; asserting that any outcome can be excused after the event.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Transparent assumptions help users understand limitations and compare projections. They can make disagreement and later errors easier to interpret.

Counterarguments and conditions. Too much technical detail can confuse users, and unrealistic assumptions can still mislead. Communication must distinguish meaningful contingencies from excuses that prevent scrutiny.

Application. A: the 2024 review calls for clearer treatment of risks and uncertainty in forecasting and communication.

High-quality judgment. A strong judgment supports disclosure that is relevant, intelligible and open to checking. Assumption disclosure should improve accountability, not remove it.

Question 12

Medium | SL/HL | 25 marks

Topic 1.2: Logic and evidence; Exceptional observations

(a) [10] Explain how an unusual economic observation can be distinguished from evidence against a general explanation.

(b) [15] Using real-world examples, evaluate the view that one exceptional event is sufficient reason to abandon an economic theory.

Part (a) - Indicative answer and marking guidance

Essential concepts. Logic concerns whether a conclusion follows from premises. Empirical evidence comes from observation or experiment. An association alone does not establish a causal mechanism.

Required reasoning. Check whether the observation is reliable and whether the theory claims universal validity or a relationship under limited conditions. Consider alternative influences and the significance of a repeated versus isolated discrepancy.

Common misconceptions. Dismissing every inconvenient observation as an exception; assuming a universal claim cannot be challenged by one valid counterexample; confusing rare with irrelevant.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. A well-established counterexample under the stated conditions can refute an absolute proposition and reveal a missing mechanism.

Counterarguments and conditions. A conditional or probabilistic explanation may allow unusual outcomes. Measurement error, new conditions or a misapplied theory may warrant narrower revision rather than abandonment.

Application. E: the Great Depression challenged prevailing confidence in recovery. A: forecasting review illustrates investigation of unusual shocks rather than automatic rejection.

High-quality judgment. Identify the kind of claim being tested and explain why the event is relevant to it. Distinguish revising scope from immunising a theory against evidence.

Question 13

Hard | SL/HL | 25 marks

Topic 1.2: Logic and evidence; Conflicting empirical findings

(a) [10] Explain two reasons why economists studying the same issue may obtain different empirical findings.

(b) [15] Using real-world examples, discuss whether conflicting evidence makes economics unreliable as a guide to decisions.

Part (a) - Indicative answer and marking guidance

Essential concepts. Logic concerns whether a conclusion follows from premises. Empirical evidence comes from observation or experiment. An association alone does not establish a causal mechanism.

Required reasoning. Develop differences in measurement or sample and differences in conditions, time periods or interpretation. Connect each to potentially different findings without assuming dishonesty or requiring statistical techniques.

Common misconceptions. Attributing every disagreement to values; treating one finding as automatically false; assuming more observations always resolve differences in definitions.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Conflicting findings can reveal weak relationships or uncertainty that should limit confident recommendations.

Counterarguments and conditions. Comparison can expose scope conditions, improve measurement and identify robust conclusions. Decision-makers can use qualified evidence rather than demand unanimity.

Application. A: compare forecasts and their assumptions in the Bank review. D: experimental evidence provides a contrasting setting where procedures and populations matter.

High-quality judgment. Judge reliability by openness, reproducibility and responsiveness to uncertainty, rather than agreement alone. Explain what the conflict means for the particular decision.

Question 14

Medium | SL/HL | 25 marks

Topic 1.2: Models and theories; Revision after structural change

(a) [10] Explain why changes in economic institutions or behaviour may require economists to revise a model.

(b) [15] Using real-world examples, evaluate the view that a model which explained the past is a reliable guide to the future.

Part (a) - Indicative answer and marking guidance

Essential concepts. A model simplifies selected relationships for a purpose. Assumptions define its scope. Explanation, conditional prediction and policy comparison are different possible uses.

Required reasoning. Relationships estimated or assumed under one set of arrangements may change when institutions or behaviour change. Explain how a previously relevant mechanism can weaken or operate differently and why models need renewed checking.

Common misconceptions. Claiming history never offers useful evidence; treating every temporary disturbance as structural change; assuming an old fit guarantees stable future relationships.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Past performance provides evidence of usefulness and can reveal recurring mechanisms, especially when relevant conditions persist.

Counterarguments and conditions. New institutions, technologies or behaviour can change those conditions. A past explanation may remain informative without supporting the same future prediction.

Application. A: the forecasting review discusses uncertainty and structural change. C: pension arrangements illustrate a change in the setting of household decisions.

High-quality judgment. Assess the stability of relevant mechanisms, not merely the age of the model. State what evidence would justify continued use or revision.

Question 15

Medium | SL/HL | 25 marks

Topic 1.2: Positive economics; False claims and testability

(a) [10] Explain why a positive statement can be false while a normative statement cannot be assessed by evidence alone.

(b) [15] Using real-world examples, discuss the view that a statement supported by data is free from value judgments.

Part (a) - Indicative answer and marking guidance

Essential concepts. Positive economics describes or explains what is, using claims assessable against evidence. Normative economics concerns what ought to be and involves value judgments.

Required reasoning. A descriptive claim is positive because evidence can bear on it, even if it is wrong. A recommendation requires a criterion for desirability. Explain how a policy argument can combine accurate facts with an unstated ranking of goals.

Common misconceptions. Equating factual support with absence of values in an entire argument; calling inaccurate positive claims normative; treating values as numerical measurement errors.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. A narrowly stated empirical result can be assessed without endorsing the policy objectives of the analyst.

Counterarguments and conditions. The choice of an outcome described as successful or sufficient can embody a judgment. Data can support a premise without establishing the desirability of a recommendation.

Application. B: evidence about access does not by itself establish that clinical need should take priority over ability to pay. K provides an environmental-priority alternative.

High-quality judgment. Separate the individual factual statement from the wider claim made with it. A strong answer avoids asserting that all evidence is merely opinion.

Question 16

Easy | SL/HL | 25 marks

Topic 1.2: Normative economics; Making priorities explicit

(a) [10] Explain how value judgments can influence both the objectives and the assessment of an economic policy.

(b) [15] Using real-world examples, evaluate the importance of making value judgments explicit in economic policy advice.

Part (a) - Indicative answer and marking guidance

Essential concepts. A value judgment ranks outcomes or goals. Positive evidence can inform consequences but does not, by itself, establish the values by which consequences should be ranked.

Required reasoning. Explain how a goal is selected and how different outcomes or groups are weighted when judging success. Distinguish those choices from evidence about what occurred. Two linked stages of judgment are needed, not only a definition.

Common misconceptions. Assuming economists with values cannot use evidence; treating objectives as unavoidable facts; assuming public agreement removes the normative element.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Explicit priorities allow scrutiny, reveal trade-offs and make disagreements more intelligible. They prevent a preferred objective being presented as a purely technical conclusion.

Counterarguments and conditions. Disclosure does not establish which values are best or settle all conflicts. Useful advice still requires credible factual analysis and understandable presentation.

Application. B: the NHS constitution explicitly identifies access and fair use of resources. K: circular-economy objectives state environmental priorities.

High-quality judgment. Judge transparency as a condition for accountable advice rather than a substitute for evidence or democratic choice.

Question 17

Hard | SL/HL | 25 marks

Topic 1.2: Equity and equality; Equal treatment and relevant differences

(a) [10] Explain why equal treatment of individuals may not produce an outcome regarded as equitable.

(b) [15] Using real-world examples, discuss whether equal public spending per person is an equitable basis for allocating services.

Part (a) - Indicative answer and marking guidance

Essential concepts. Equity means fairness under an explicit criterion; equality means sameness in a specified dimension. Equal income, equal opportunity and need-based treatment are different objectives.

Required reasoning. Distinguish equal inputs from equal opportunity or outcomes. Explain how differences in need, starting position or ability to benefit can make identical allocations appear unfair under one criterion while fair under another.

Common misconceptions. Defining equity as identical income in every case; treating all unequal allocations as unfair; claiming that an equity judgment is settled by a single statistic.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Equal per-person spending is transparent, avoids some arbitrary distinctions and reflects equal status or entitlement.

Counterarguments and conditions. Unequal needs and delivery costs may require unequal resources for meaningful access. Equal inputs can preserve disadvantages, though needs-based allocation requires defensible criteria.

Application. B: clinical-need-based health care provides a concrete contrast with identical spending on every patient.

High-quality judgment. State the fairness criterion and compare its implications. Strong evaluation acknowledges that equality can be one defensible principle without being the only one.

Question 18

Medium | SL/HL | 25 marks

Topic 1.2: Equity and equality; Equality of opportunity and equality of outcome

(a) [10] Explain the distinction between equality of opportunity and equality of outcome in economic decisions.

(b) [15] Using real-world examples, evaluate the view that equality of opportunity is sufficient to achieve equity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Equity means fairness under an explicit criterion; equality means sameness in a specified dimension. Equal income, equal opportunity and need-based treatment are different objectives.

Required reasoning. Opportunity concerns access to a genuine chance to participate or advance; outcome concerns realised income, services or other results. Explain why similar opportunities can produce different outcomes and why apparently open access may conceal unequal starting conditions.

Common misconceptions. Assuming opportunity means identical results; defining formal permission as automatically equal effective opportunity; presenting a preferred fairness principle as a proven fact.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Opportunity-based fairness respects choice and different preferences and need not require everyone to obtain identical outcomes.

Counterarguments and conditions. Health, inherited circumstances and unequal resources can limit genuine opportunities. Even fairly generated outcomes may leave essential needs unmet under a needs-based criterion.

Application. B: access based on clinical need can illustrate why initial entitlement alone may not determine a fair health outcome. Use another developed education-access example if accurate.

High-quality judgment. Compare substantive opportunity with formal access and identify the fairness standard used. Avoid requiring redistribution instruments from later topics.

Question 19

Hard | SL/HL | 25 marks

Topic 1.2: Equity and equality; Competing fairness criteria

(a) [10] Explain how need and contribution can lead to different judgments about a fair distribution of income.

(b) [15] Using real-world examples, discuss whether economists can identify a single objectively correct distribution of income.

Part (a) - Indicative answer and marking guidance

Essential concepts. Equity means fairness under an explicit criterion; equality means sameness in a specified dimension. Equal income, equal opportunity and need-based treatment are different objectives.

Required reasoning. Under a need criterion, those facing greater essential needs may receive more; under a contribution criterion, rewards reflect a defined productive contribution. Explain how the same distribution can be ranked differently and why contribution itself needs an operational definition.

Common misconceptions. Assuming every observed payment equals contribution; treating needs as necessarily identical; claiming that disagreement prevents any reasoned comparison.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Evidence can identify needs and consequences and can test whether stated distributional goals are met. Coherent principles constrain arbitrary judgments.

Counterarguments and conditions. Choosing among principles and weighting people involves normative commitments. Data alone do not select the uniquely correct moral standard.

Application. B: allocation by clinical need exemplifies one criterion. J: Marx's critique supplies a different perspective on ownership and the distribution of gains; do not require agreement with it.

High-quality judgment. A strong answer distinguishes objective evidence about a distribution from the normative criterion used to call it fair.

Question 20

Medium | SL/HL | 25 marks

Topic 1.2: Normative economics; Judgments across generations

(a) [10] Explain how different views about fairness between generations can influence economic policy priorities.

(b) [15] Using real-world examples, evaluate whether the interests of future generations should receive the same weight as those of people living today.

Part (a) - Indicative answer and marking guidance

Essential concepts. A value judgment ranks outcomes or goals. Positive evidence can inform consequences but does not, by itself, establish the values by which consequences should be ranked.

Required reasoning. Explain a present-versus-future choice and how alternative weights on the interests of each generation change the preferred action. Separate evidence about likely effects from the judgment about whose interests count and how much.

Common misconceptions. Treating future consequences as perfectly known; claiming current needs never matter; requiring mathematical discounting or environmental policy diagrams.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Equal moral consideration protects people who cannot participate in present decisions and discourages shifting severe costs to the future.

Counterarguments and conditions. Urgent current deprivation and uncertainty complicate identical practical weighting. Present action may also create assets useful to future people. Equal consideration need not imply identical expenditure.

Application. K: circular-economy strategies offer a setting for current production choices with future resource consequences.

High-quality judgment. State how urgency, uncertainty and lasting effects influence the judgment. Distinguish the ethical weight given to people from an assumption that all outcomes are equally predictable.

Question 21

Easy | SL/HL | 25 marks

Topic 1.2: Normative economics; Different goals despite shared facts

(a) [10] Explain why two economists who agree on a policy's likely effects may still recommend different actions.

(b) [15] Using real-world examples, discuss the view that disagreement between economists mainly reflects differences in values.

Part (a) - Indicative answer and marking guidance

Essential concepts. A value judgment ranks outcomes or goals. Positive evidence can inform consequences but does not, by itself, establish the values by which consequences should be ranked.

Required reasoning. Hold the predicted effects constant and explain different rankings of goals or consequences for groups. Contrast this with disagreement over factual effects, which is a different source of conflicting advice.

Common misconceptions. Assuming all disagreement is factual; assuming all disagreement is ideological; attributing motives without evidence.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Different priorities concerning fairness, choice and environmental protection can produce different recommendations from the same evidence.

Counterarguments and conditions. Economists also disagree over assumptions, data and causal relationships. The relative importance of values varies with the particular debate.

Application. B supports a debate about access priorities; A supplies an alternative case where differences in forecasting assumptions matter.

High-quality judgment. Separate positive and normative sources of disagreement and explain which is central in the chosen example.

Question 22

Medium | SL/HL | 25 marks

Topic 1.2: Logic and evidence; What is measured and what is omitted

(a) [10] Explain how the choice of variables measured can affect the conclusions of an economic investigation.

(b) [15] Using real-world examples, evaluate the view that using more data necessarily improves economic advice.

Part (a) - Indicative answer and marking guidance

Essential concepts. Logic concerns whether a conclusion follows from premises. Empirical evidence comes from observation or experiment. An association alone does not establish a causal mechanism.

Required reasoning. Specify how a measured outcome represents a question and how omitted dimensions or inconsistent definitions can change the interpretation. Explain the difference between collecting additional observations and collecting relevant information.

Common misconceptions. Equating quantity of data with accuracy; assuming any omission invalidates all results; requiring index calculations outside the topic.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. More relevant observations can reveal patterns, differences and exceptions and reduce reliance on anecdote.

Counterarguments and conditions. Biased, irrelevant or inconsistently measured data can reinforce a misleading conclusion. A clear causal question and suitable definitions remain necessary.

Application. A: the forecasting review addresses data infrastructure alongside models and decision processes. C illustrates the importance of defining who is eligible for enrolment.

High-quality judgment. Judge improvements in relevance, quality and coverage, rather than data volume alone. Explain which missing information would alter the advice.

Question 23

Hard | SL/HL | 25 marks

Topic 1.2: Hypotheses and refutation; Testing a rival explanation

(a) [10] Explain how economists can distinguish between two explanations that are consistent with the same observation.

(b) [15] Using real-world examples, discuss whether a theory should be preferred because it explains a wider range of economic events.

Part (a) - Indicative answer and marking guidance

Essential concepts. A hypothesis is a proposed testable relationship. A theory explains related phenomena; a model is a simplified representation. Refutation is evidence-based rejection of a claim under its relevant conditions.

Required reasoning. Identify the shared observation and derive a further implication on which the explanations differ. Consider evidence under relevant conditions and whether each mechanism could operate together. Do not require a named statistical identification method.

Common misconceptions. Treating one matching observation as decisive; assuming rival explanations must be mutually exclusive; equating breadth with truth.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. A theory with wider successful applications can connect phenomena and reduce the need for unrelated explanations.

Counterarguments and conditions. Excessively broad claims may be vague or difficult to challenge. A narrower explanation can be more precise and reliable in a defined setting; complexity and evidence quality matter.

Application. E and F: competing accounts of historical macroeconomic events provide examples of differing mechanisms; the response need not use formal macroeconomic models.

High-quality judgment. A strong judgment weighs explanatory reach against precision, testability and evidence. Suggest the kind of observation that would discriminate between explanations.

Question 24

Medium | SL/HL | 25 marks

Topic 1.2: Models and theories; Prediction versus conditional comparison

(a) [10] Explain how an economic model can help compare alternative courses of action without providing a precise forecast.

(b) [15] Using real-world examples, evaluate the view that economic models should be judged mainly by the accuracy of their forecasts.

Part (a) - Indicative answer and marking guidance

Essential concepts. A model simplifies selected relationships for a purpose. Assumptions define its scope. Explanation, conditional prediction and policy comparison are different possible uses.

Required reasoning. Explain how stated assumptions allow a model to compare the direction or relative consequences of alternatives even when the exact future path is uncertain. Distinguish an explanation of a mechanism, a conditional comparison and a point forecast.

Common misconceptions. Equating all model use with precise forecasting; treating an untestable model as beyond scrutiny; assuming a conditional comparison is automatically reliable.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Prediction offers observable evidence against which models can be checked, and serious persistent errors can reveal weaknesses relevant to decisions.

Counterarguments and conditions. Models may also clarify mechanisms, expose trade-offs and compare conditional scenarios. Unexpected events and the purpose of the model affect how much a forecast miss establishes.

Application. A: the Bank review examines forecasting together with the analytical support models provide to decisions and communication.

High-quality judgment. Judge accuracy in relation to the task, while retaining empirical accountability. Explain what counts as useful performance beyond an exact numerical prediction.

Question 25

Medium | SL/HL | 25 marks

Topic 1.2: Models and theories; Representative outcomes and differences between people

(a) [10] Explain why a model based on an average household may not describe the choices of every household.

(b) [15] Using real-world examples, discuss whether economists should prioritise differences between individuals when constructing models.

Part (a) - Indicative answer and marking guidance

Essential concepts. A model simplifies selected relationships for a purpose. Assumptions define its scope. Explanation, conditional prediction and policy comparison are different possible uses.

Required reasoning. Explain how averaging combines people with different constraints or preferences and can conceal variation. A relationship for an average does not identify every individual's response. Show why heterogeneity can matter for the model's purpose.

Common misconceptions. Saying averages have no use; assuming every household possesses the average characteristics; requiring distributional indices or calculations.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Recognising differences can improve analysis of access, behaviour and who gains or loses from change.

Counterarguments and conditions. Excessive detail can obscure broad relationships and demand information that is unavailable. A simple average may be adequate for a limited aggregate question.

Application. C: pension participation differs by employee and employer characteristics. B supplies an alternative context where differences in need matter.

High-quality judgment. A strong conclusion explains when differences change the result enough to justify extra complexity and when aggregation remains useful.

Question 26

Easy | SL/HL | 25 marks

Topic 1.2: Adam Smith and laissez faire; Eighteenth-century origins

(a) [10] Explain how Adam Smith's ideas challenged extensive government control of economic activity in the eighteenth century.

(b) [15] Using real-world examples, discuss the continuing relevance of laissez-faire ideas to economic decision-making.

Part (a) - Indicative answer and marking guidance

Essential concepts. Laissez faire favours substantial freedom for private production and exchange. Smith linked specialisation and exchange with prosperity while recognising government duties, including justice and public works.

Required reasoning. Place Smith in the context of restrictions on commerce and state-directed privileges. Explain his emphasis on exchange, specialisation and decentralised initiative rather than simply stating that he opposed government. Detailed trade theory is unnecessary.

Common misconceptions. Claiming Smith advocated the absence of law or every public service; presenting him as a twentieth-century economist; treating all private choices as socially beneficial by definition.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Freedom of initiative and exchange can use dispersed knowledge and allow people to pursue productive opportunities.

Counterarguments and conditions. The institutional and social setting matters, and Smith recognised public duties. The historical argument does not justify every reduction in government activity.

Application. G: Smith's own discussion of justice and public works; B: public services alongside private exchange offer a contemporary application.

High-quality judgment. Identify which elements remain useful and the conditions supporting them. Avoid equating laissez faire with a rule that government should never act.

Question 27

Hard | SL/HL | 25 marks

Topic 1.2: Adam Smith and laissez faire; Self-interest and coordination

(a) [10] Explain how the pursuit of self-interest can contribute to economic coordination in Adam Smith's account.

(b) [15] Using real-world examples, evaluate the view that the pursuit of private interests necessarily benefits society.

Part (a) - Indicative answer and marking guidance

Essential concepts. Laissez faire favours substantial freedom for private production and exchange. Smith linked specialisation and exchange with prosperity while recognising government duties, including justice and public works.

Required reasoning. Explain how serving others through exchange can be a means to pursue one's own objectives, encouraging specialisation and production. Make clear that the mechanism operates within institutions and does not mean selfish conduct always creates a social gain.

Common misconceptions. Treating the invisible hand as a guarantee; assuming self-interest excludes cooperation; requiring formal market-efficiency conditions.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. People can obtain gains by providing goods others value, and coordination need not require a single authority to direct every decision.

Counterarguments and conditions. Private objectives can conflict with fairness or resource stewardship. The relevant rules, opportunities and consequences determine whether interests align.

Application. G provides the primary historical setting; K offers a modern setting where private material-use choices and wider environmental interests must be compared.

High-quality judgment. Explain the conditions for alignment rather than merely approving or condemning self-interest. No externality diagram is required.

Question 28

Medium | SL/HL | 25 marks

Topic 1.2: Adam Smith and laissez faire; The state within a market-oriented account

(a) [10] Explain why Adam Smith's support for private economic activity was compatible with some government functions.

(b) [15] Using real-world examples, discuss whether recognising a role for government is inconsistent with support for markets.

Part (a) - Indicative answer and marking guidance

Essential concepts. Laissez faire favours substantial freedom for private production and exchange. Smith linked specialisation and exchange with prosperity while recognising government duties, including justice and public works.

Required reasoning. Explain how justice, defence or public works can provide the conditions in which private exchange operates. Distinguish a limited set of enabling functions from comprehensive direction of production. Develop two functions or one linked institutional explanation.

Common misconceptions. Describing Smith as opposed to all government; equating any public activity with central planning; importing a technical public-goods test as compulsory knowledge.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Rules and shared facilities can enable exchange and private production rather than replace them.

Counterarguments and conditions. The scale and operation of public activity can limit some private choices. Compatibility depends on the function and institutional arrangements, not labels alone.

Application. G: Smith explicitly discusses public duties. B supplies a mixed-economy illustration; the example must distinguish support for exchange from opposition to every public service.

High-quality judgment. A strong conclusion assesses how public and private roles interact and avoids a false choice between an entirely state-run and entirely unregulated economy.

Question 29

Hard | SL/HL | 25 marks

Topic 1.2: Utility and the margin; Subjective utility

(a) [10] Explain how the concept of utility changed economists' understanding of the value individuals place on goods.

(b) [15] Using real-world examples, evaluate the view that the usefulness of a good is the same for every consumer.

Part (a) - Indicative answer and marking guidance

Essential concepts. Utility is the satisfaction a person obtains from consumption. Marginal analysis considers an additional unit or small change, rather than judging a decision only by totals.

Required reasoning. Explain utility as satisfaction connected to individual wants and circumstances rather than an intrinsic moral property. Different people can value the same good differently; the same person's valuation may also change with circumstances. No utility calculation is required.

Common misconceptions. Equating utility with ethical goodness; assuming identical satisfaction because the physical product is identical; claiming interpersonal satisfaction can be directly measured without qualification.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Common physical functions and essential needs can produce similarities in how people value some goods.

Counterarguments and conditions. Preferences, circumstances and existing access differ. Similar physical usefulness need not mean identical satisfaction or willingness to sacrifice alternatives.

Application. H: Jevons' historical account of utility. B can provide a real-world health-services setting with different patient needs; do not infer measured utilities from it.

High-quality judgment. Distinguish a good's shared function from the satisfaction of particular users. Historical concepts must be applied to the real example, not merely quoted.

Question 30

Medium | SL/HL | 25 marks

Topic 1.2: Utility and the margin; Additional versus total effects

(a) [10] Explain how reasoning at the margin differs from reasoning only in terms of total benefits and total costs.

(b) [15] Using real-world examples, discuss the usefulness of marginal reasoning for economic choices.

Part (a) - Indicative answer and marking guidance

Essential concepts. Utility is the satisfaction a person obtains from consumption. Marginal analysis considers an additional unit or small change, rather than judging a decision only by totals.

Required reasoning. Distinguish the consequences of an additional unit or small change from the totals associated with the whole activity. Explain why a valuable activity can have a less valuable next increment and why sunk totals do not alone determine the next choice. Formal optimisation is not required.

Common misconceptions. Calling marginal unimportant; equating marginal with average; demanding calculus or a condition such as marginal utility per currency unit.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Incremental comparison can clarify choices over the scale of an activity and prevent large total benefits being mistaken for a case for every extension.

Counterarguments and conditions. Changes may be indivisible, uncertain or interconnected. Values and distribution still affect how consequences are judged, so the margin is a tool rather than a complete decision rule.

Application. B: choosing an additional health-service allocation rather than whether all health care is worthwhile. H anchors the nineteenth-century development.

High-quality judgment. Apply an additional-versus-total distinction concretely and explain where it improves the decision and where it leaves other issues unresolved.

Question 31

Easy | SL/HL | 25 marks

Topic 1.2: Say's law; Production, income and purchasing power

(a) [10] Explain the relationship between production and demand expressed in Say's law.

(b) [15] Using real-world examples, discuss the view that expanding production is sufficient to ensure that output will be purchased.

Part (a) - Indicative answer and marking guidance

Essential concepts. Say linked production with income and the purchasing power used to obtain other products. The classical proposition concerns economy-wide demand, not a guarantee that every particular product sells.

Required reasoning. Explain how production generates incomes or saleable products that can finance demand for other products. Distinguish this economy-wide proposition from a guarantee of demand for every individual good. State that the conversion of purchasing power into expenditure is an important assumption in the debate.

Common misconceptions. Claiming each good creates purchasers for itself; confusing unsold individual goods with a refutation of every aggregate claim; omitting the production-income link.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Production provides goods and earning opportunities that make purchases possible; demand cannot be sustained without some command over resources.

Counterarguments and conditions. The output mix may not match preferences, and purchasing power may not be spent immediately. Historical episodes of weak expenditure challenged strong automatic-sales interpretations.

Application. I: Say's original chapter on markets for products. E: the Great Depression provides a contrasting historical context, without requiring AD-AS.

High-quality judgment. Distinguish purchasing power from actual expenditure and individual sales from the economy-wide proposition. A conditional conclusion is appropriate.

Question 32

Medium | SL/HL | 25 marks

Topic 1.2: Say's law; Money as an intermediary

(a) [10] Explain how the introduction of money affects the link between producing goods and purchasing other goods.

(b) [15] Using real-world examples, evaluate the view that money is merely a neutral intermediary in economic exchange.

Part (a) - Indicative answer and marking guidance

Essential concepts. Say linked production with income and the purchasing power used to obtain other products. The classical proposition concerns economy-wide demand, not a guarantee that every particular product sells.

Required reasoning. Contrast direct exchange with receiving money from a sale and using it later for purchases. Money facilitates exchange but separates selling from buying in time. Connect this distinction to debates about whether generated income is promptly spent, not to a full monetary model.

Common misconceptions. Assuming every sale is immediately followed by equal spending; treating money as an additional physical good automatically increasing capacity; requiring money-market diagrams.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. As a medium of exchange, money can facilitate transactions without itself being the ultimate goods and services sought.

Counterarguments and conditions. The option to delay spending means receipt of income need not generate an immediate purchase. Confidence and institutions can influence the timing of exchange.

Application. I: Say's account of products and money. E illustrates a historical setting in which disrupted spending and monetary institutions mattered; do not attribute a single cause to the Depression.

High-quality judgment. Distinguish the exchange function of money from a universal claim that monetary arrangements have no effect. No quantity equation or monetary transmission mechanism is required.

Question 33

Hard | SL/HL | 25 marks

Topic 1.2: Marxist critique; Ownership and class relationships

(a) [10] Explain how ownership of productive resources shapes the relationship between workers and owners in Marx's critique of capitalism.

(b) [15] Using real-world examples, discuss the view that an increase in production necessarily benefits workers and owners equally.

Part (a) - Indicative answer and marking guidance

Essential concepts. Marx examined ownership of productive assets, the relationship between capital and wage labour, and the distribution of production gains. Present his critique accurately without requiring students to endorse it.

Required reasoning. Explain the distinction between control of productive assets and the sale of labour power. In Marx's account this relationship shapes control over production and the distribution of gains. Present the argument as a theory rather than a claim that all workers and owners are identical.

Common misconceptions. Equating Marxist critique with opposition to all production; assuming gains must be identical because groups are interdependent; requiring calculations of surplus value.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Growing output can expand employment, consumption possibilities and returns, allowing both groups to gain.

Counterarguments and conditions. Ownership and other institutional relationships can produce different shares of the gain. Absolute improvements for workers do not imply equal proportional gains or unchanged relative positions.

Application. J: Marx distinguishes relative and absolute gains. N: Ford's assembly-line development and 1914 wage decision illustrate gains to production and workers; they do not establish equal percentage benefits for all groups.

High-quality judgment. Distinguish equal benefits, gains for both and distributional fairness. A strong judgment can accept or reject parts of Marx's account with coherent evidence.

Question 34

Medium | SL/HL | 25 marks

Topic 1.2: Marxist critique; Accumulation and inequality

(a) [10] Explain why Marx questioned whether the accumulation of capital would remove economic inequality.

(b) [15] Using real-world examples, discuss the view that economic analysis should focus on ownership relationships rather than individual choices.

Part (a) - Indicative answer and marking guidance

Essential concepts. Marx examined ownership of productive assets, the relationship between capital and wage labour, and the distribution of production gains. Present his critique accurately without requiring students to endorse it.

Required reasoning. Explain how accumulation can expand output while control over assets and the share of resulting gains remain unequal. Separate changes in total resources from the ownership relationship central to the critique. Detailed historical laws of capitalist collapse are not required.

Common misconceptions. Treating a larger total as proof of equal shares; claiming Marx argued workers could never experience any absolute gain; confusing a critique with empirical proof.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Ownership can shape control over production and the distribution of gains, revealing relationships that an account of isolated choices may miss.

Counterarguments and conditions. Individual preferences, capabilities and decisions also affect outcomes. Ownership and individual agency can interact, so one level of analysis need not replace the other.

Application. J: Marx's account identifies the ownership relationship. N: Ford's 1914 wage decision gives a concrete case in which company control, worker choices and remuneration can be considered together.

High-quality judgment. Compare the explanatory contribution of ownership and individual choice for the selected issue. A strong judgment identifies their interaction instead of requiring exclusive priority.

Question 35

Medium | SL/HL | 25 marks

Topic 1.2: Marxist critique; Explanatory claims and normative judgments

(a) [10] Explain how Marx's critique of capitalism contains claims about economic relationships as well as judgments about those relationships.

(b) [15] Using real-world examples, discuss whether the presence of value judgments makes an economic critique unscientific.

Part (a) - Indicative answer and marking guidance

Essential concepts. Marx examined ownership of productive assets, the relationship between capital and wage labour, and the distribution of production gains. Present his critique accurately without requiring students to endorse it.

Required reasoning. Separate a proposed relationship concerning ownership or distribution from a judgment about fairness or desirability. Explain that the empirical claims can be examined while the normative standard is made explicit; the entire account need not belong to only one category.

Common misconceptions. Treating every critical claim as normative; assuming evidence proves a moral principle; requiring endorsement or rejection of an ideology.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Unstated values can distort conclusions if preferences are presented as empirical findings or contrary evidence is ignored.

Counterarguments and conditions. An explicit ethical concern can motivate valid investigation. Logical consistency and empirical scrutiny can be applied to factual claims even when the wider critique has normative aims.

Application. J anchors the historical critique. B provides a contrasting institutional statement where explicit fairness goals coexist with evidence-based assessment.

High-quality judgment. Judge scientific quality by how explanatory claims are reasoned and tested, while treating normative conclusions according to their stated criteria.

Question 36

Easy | SL/HL | 25 marks

Topic 1.2: Keynesian revolution; The Great Depression as historical context

(a) [10] Explain how the Great Depression contributed to the development of Keynesian economic thought.

(b) [15] Using real-world examples, evaluate the importance of major economic crises in changing economic ideas.

Part (a) - Indicative answer and marking guidance

Essential concepts. Keynes challenged confidence in automatic recovery to full employment and emphasised deficient total spending. The Great Depression is the central historical setting for the rise of macroeconomic policy.

Required reasoning. Explain how persistent mass unemployment and weak activity challenged confidence in automatic recovery. Connect those observations to Keynes's emphasis on deficient spending and the possibility of active macroeconomic management. Avoid a chronology without an intellectual connection.

Common misconceptions. Claiming Keynes invented all government activity; presenting the Depression as proof of one cause; requiring formal aggregate-demand diagrams or multipliers.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Crises expose weaknesses in prevailing explanations, create new evidence and make unresolved problems urgent.

Counterarguments and conditions. Ideas also change through gradual research and debate. A crisis can have several interpretations, and urgency does not ensure that the replacement explanation is correct.

Application. E: Great Depression; F: the Great Inflation offers a second historical episode with different challenges to prevailing views.

High-quality judgment. Explain how an event altered a particular assumption or question. A strong judgment recognises crises as catalysts whose significance depends on interpretation and subsequent scrutiny.

Question 37

Hard | SL/HL | 25 marks

Topic 1.2: Keynesian revolution; From explanation to macroeconomic policy

(a) [10] Explain why Keynesian thought supported a larger role for macroeconomic policy than a laissez-faire approach.

(b) [15] Using real-world examples, discuss whether evidence of persistent economic weakness justifies greater government involvement.

Part (a) - Indicative answer and marking guidance

Essential concepts. Keynes challenged confidence in automatic recovery to full employment and emphasised deficient total spending. The Great Depression is the central historical setting for the rise of macroeconomic policy.

Required reasoning. Link the possibility of insufficient economy-wide spending and prolonged unused resources to a potential coordinating role for public action. Contrast this with confidence in decentralised adjustment. Explain the difference in reasoning without evaluating specific fiscal or monetary instruments.

Common misconceptions. Assuming Keynes supported government ownership of every firm; equating all state action with demand management; claiming persistent weakness establishes any proposed intervention is effective.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. If decentralised adjustment leaves resources unused, coordinated action may address a problem individual decisions do not resolve.

Counterarguments and conditions. The diagnosis may be incomplete and public action can face information or implementation limits. Justification for a role is distinct from proof that a specific action will work.

Application. E provides the historical setting; F shows why confidence in management later faced challenges.

High-quality judgment. Connect intervention to a diagnosed mechanism, then state conditions limiting the inference. Detailed policy-effectiveness analysis belongs to later topics.

Question 38

Medium | SL/HL | 25 marks

Topic 1.2: Keynesian revolution; Automatic adjustment and the speed of recovery

(a) [10] Explain why Keynes challenged the view that an economy would rapidly return to full employment without intervention.

(b) [15] Using real-world examples, evaluate the importance of the time taken for economic adjustment when comparing economic ideas.

Part (a) - Indicative answer and marking guidance

Essential concepts. Keynes challenged confidence in automatic recovery to full employment and emphasised deficient total spending. The Great Depression is the central historical setting for the rise of macroeconomic policy.

Required reasoning. Explain that private decisions can leave total spending inadequate to employ available resources, so waiting for adjustment may involve prolonged lost output and income. Contrast the claim of eventual adjustment with the claim of rapid or socially acceptable recovery.

Common misconceptions. Treating eventual and immediate recovery as identical; assuming all classical economists held an identical view; requiring wage-rigidity diagrams.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. The speed of adjustment matters because prolonged idleness imposes real consequences. A claim of eventual recovery may offer little guidance for urgent choices.

Counterarguments and conditions. Short-run difficulties do not establish that every intervention improves the longer-term path. The adjustment mechanism, evidence and consequences of action still matter.

Application. E: prolonged Depression-era disruption supports a timing comparison. A supplies a modern example of attention to alternative future paths.

High-quality judgment. Compare explanations over an identified horizon and assess the relevance of adjustment speed without assuming one horizon is always decisive.

Question 39

Hard | SL/HL | 25 marks

Topic 1.2: Monetarist and new classical thought; Inflation and the monetarist challenge

(a) [10] Explain how monetarist ideas challenged confidence in discretionary macroeconomic management.

(b) [15] Using real-world examples, discuss the view that the success of economic management should be judged mainly by price stability.

Part (a) - Indicative answer and marking guidance

Essential concepts. Monetarism emphasised money and inflation and criticised discretionary stabilisation. New classical thought stressed expectations and adjustment. These related challenges are not identical schools.

Required reasoning. Explain monetarist concern with sustained money growth and inflation, uncertainty about the timing of policy effects, and the case for predictable policy. Situate the challenge in twentieth-century debate rather than deriving a quantity equation.

Common misconceptions. Treating monetarism as the claim that only money ever matters; conflating it with all new classical thought; requiring a Phillips curve or a monetary-policy diagram.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Stable prices can improve the reliability of monetary comparisons and reduce uncertainty. Inflationary episodes increased the appeal of that priority.

Counterarguments and conditions. Economic management also concerns employment and well-being, and stable prices alone do not establish fair or successful outcomes. Priorities involve values as well as evidence.

Application. F: the Great Inflation supplies the historical setting. M: the Richmond Fed paper assesses the continuing influence of monetarist ideas.

High-quality judgment. A strong response explains why price stability matters and whether it is a sufficient criterion, without requiring analysis of particular stabilisation instruments.

Question 40

Medium | SL/HL | 25 marks

Topic 1.2: Monetarist and new classical thought; Expectations and policy analysis

(a) [10] Explain why the new classical emphasis on expectations changed how economists analysed policy.

(b) [15] Using real-world examples, evaluate the view that economic policy can be analysed without considering how people anticipate it.

Part (a) - Indicative answer and marking guidance

Essential concepts. Monetarism emphasised money and inflation and criticised discretionary stabilisation. New classical thought stressed expectations and adjustment. These related challenges are not identical schools.

Required reasoning. Explain how people's decisions can depend on what they expect authorities and others to do, so a policy announcement can affect the setting in which it operates. Historical importance, not a formal rational-expectations model, is the required depth.

Common misconceptions. Equating expectations with perfect foresight; assuming everyone has identical information; treating all anticipated policies as necessarily ineffective.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Ignoring expectations can miss changes in behaviour that occur before or in response to a decision and can make past relationships misleading.

Counterarguments and conditions. Expectations may be uncertain, diverse or weakly responsive. For limited questions, simpler assumptions may still be informative, provided their consequences are assessed.

Application. F and M establish expectations as part of the later challenge to earlier policy thinking. A supports a modern forecasting-and-communication application.

High-quality judgment. Identify a plausible anticipation mechanism and judge its importance in the chosen context. Do not demand named expectations formulas or policy-ineffectiveness propositions.

Question 41

Easy | SL/HL | 25 marks

Topic 1.2: Monetarist and new classical thought; The historical counter-revolution

(a) [10] Explain how the economic experience of the 1970s encouraged challenges to the post-war Keynesian consensus.

(b) [15] Using real-world examples, discuss whether a dominant school of economic thought should be replaced when economic outcomes deteriorate.

Part (a) - Indicative answer and marking guidance

Essential concepts. Monetarism emphasised money and inflation and criticised discretionary stabilisation. New classical thought stressed expectations and adjustment. These related challenges are not identical schools.

Required reasoning. Explain why the coexistence of inflation and weak activity challenged confidence in some prevailing policy assumptions. Connect this experience to increased attention to money, expectations and the limits of management, while distinguishing criticisms from wholesale proof that Keynesian ideas were worthless.

Common misconceptions. Reducing the episode to one theory or one cause; treating monetarist and new classical views as identical; requiring a formal inflation-unemployment trade-off diagram.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Deteriorating outcomes can reveal serious shortcomings and justify examining alternative explanations.

Counterarguments and conditions. Outcomes can reflect unexpected events, implementation or misapplication. Some elements of an existing school may remain useful and be incorporated into a revised framework.

Application. F: the Great Inflation. M: the subsequent reinterpretation of monetarist contributions supports a qualified historical comparison.

High-quality judgment. Evaluate whether the contested mechanism failed and whether the alternative performs better, rather than treating dominance or poor outcomes as decisive by themselves.

Question 42

Medium | SL/HL | 25 marks

Topic 1.2: Behavioural economics; Dialogue with psychology

(a) [10] Explain how insights from psychology contributed to the development of behavioural economics.

(b) [15] Using real-world examples, evaluate the view that economics can explain decisions without drawing on other disciplines.

Part (a) - Indicative answer and marking guidance

Essential concepts. Behavioural economics brings psychologically informed accounts of judgment and choice into economics. The introductory syllabus concerns the interdisciplinary development, not detailed HL-only bias or nudge classifications.

Required reasoning. Explain how research on judgment, motivation and decision processes prompted economists to examine assumptions about how people choose. Connect psychological evidence to revised explanations rather than listing named biases from HL-only material.

Common misconceptions. Calling all unexpected behaviour irrational; claiming psychology replaced economics; requiring prospect theory, bias classifications or nudge design.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Economic concepts concerning scarcity and choice can provide coherent explanations and useful starting models.

Counterarguments and conditions. Psychological and social insights can identify mechanisms missed by simplified accounts. Interdisciplinary claims still require economic relevance and evidence.

Application. D: the 2002 and 2017 Nobel explanatory materials describe the integration of psychological research into economics. C offers an applied pension-choice context.

High-quality judgment. Judge the contribution of another discipline to a specific explanatory task rather than advocating either disciplinary isolation or unlimited breadth.

Question 43

Hard | SL/HL | 25 marks

Topic 1.2: Behavioural economics; Motivations beyond personal financial reward

(a) [10] Explain how considering fairness and social preferences can alter an economist's explanation of individual choices.

(b) [15] Using real-world examples, discuss the view that financial self-interest provides a sufficient explanation of economic behaviour.

Part (a) - Indicative answer and marking guidance

Essential concepts. Behavioural economics brings psychologically informed accounts of judgment and choice into economics. The introductory syllabus concerns the interdisciplinary development, not detailed HL-only bias or nudge classifications.

Required reasoning. Explain how a person may value the treatment or outcomes of others as well as personal material gains. A choice that sacrifices some money can be consistent with such objectives. This introductory explanation does not require technical preference models.

Common misconceptions. Defining any non-financial motive as random behaviour; claiming people never pursue material rewards; requiring HL-specific bounded-selfishness terminology.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Material incentives are important and can explain many decisions, especially when consequences are clear and closely linked to individual rewards.

Counterarguments and conditions. Fairness, identity and concern for others can change choices. Treating financial gain as the only motive can misinterpret cooperation or refusal of an otherwise profitable option.

Application. D: the Nobel material on social preferences establishes the research contribution. B illustrates the public articulation of fairness priorities, though institutional principles alone do not prove every individual's motivation.

High-quality judgment. Assess explanatory sufficiency, not whether money matters at all. Strong work distinguishes evidence of motives from an unsupported assumption about them.

Question 44

Medium | SL/HL | 25 marks

Topic 1.2: Behavioural economics; Decision processes and information

(a) [10] Explain why understanding how people make decisions can matter as well as knowing the options available to them.

(b) [15] Using real-world examples, evaluate the view that providing information is sufficient to ensure well-considered economic choices.

Part (a) - Indicative answer and marking guidance

Essential concepts. Behavioural economics brings psychologically informed accounts of judgment and choice into economics. The introductory syllabus concerns the interdisciplinary development, not detailed HL-only bias or nudge classifications.

Required reasoning. Explain how time, attention, understanding and the process of comparison can affect whether available information is used. Separate having an option or knowing a fact from carefully assessing consequences. Do not require a catalogue of cognitive biases.

Common misconceptions. Assuming all information is processed without cost; treating differences in preference as mistakes; demanding detailed HL choice-architecture theory.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Relevant, understandable information can correct misconceptions and help people compare consequences.

Counterarguments and conditions. Information may be ignored, misunderstood or difficult to use. Constraints and preferences can also lead people to choose differently from what the adviser regards as best.

Application. C: pension participation is a real setting for discussing how arrangements and information interact. D provides the psychological research background; do not attribute a precise causal effect without supporting evidence.

High-quality judgment. Explain when information addresses the actual problem and when other aspects of decision-making remain important. Avoid assuming a single externally preferred choice is objectively correct.

Question 45

Medium | SL/HL | 25 marks

Topic 1.2: Behavioural economics; Experiments and observed choices

(a) [10] Explain how experiments can help economists examine assumptions about individual decision-making.

(b) [15] Using real-world examples, discuss whether experimental evidence is a better basis for economic explanation than observation of everyday activity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Behavioural economics brings psychologically informed accounts of judgment and choice into economics. The introductory syllabus concerns the interdisciplinary development, not detailed HL-only bias or nudge classifications.

Required reasoning. Explain a controlled comparison that changes one relevant feature while making other conditions more comparable, then observes choices. Connect the outcome to a proposed assumption. Technical experimental design or a specific statistical estimator is not required.

Common misconceptions. Claiming experiments automatically establish universal truth; assuming observation can never inform causation; presenting an imagined experiment as a real-world example.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Control can make the effect of a particular change clearer and expose behaviour inconsistent with a simple assumption.

Counterarguments and conditions. Experimental settings may differ from everyday incentives or populations. Observational evidence can provide context and scale; each method has strengths and limitations.

Application. D: the 2002 prize material recognises experimental economics as well as psychological research. Distinguish Vernon Smith's work from Adam Smith's historical ideas.

High-quality judgment. Compare control with applicability and show why combining evidence may be preferable to automatically ranking one method above the other.

Question 46

Easy | SL/HL | 25 marks

Topic 1.2: Circular economy; From linear to circular production

(a) [10] Explain how a circular economy differs from a linear approach to production and consumption.

(b) [15] Using real-world examples, discuss the economic reasons for moving towards a circular economy.

Part (a) - Indicative answer and marking guidance

Essential concepts. A circular economy seeks to maintain the value of products and materials through durability, reuse, repair and recovery. It differs from a linear extraction-use-disposal system and from the circular flow of income.

Required reasoning. Contrast extraction, production, use and disposal with extending product life and recovering material value through repair, reuse and recycling. Explain the resulting difference in demand for new materials and the relationship between production and waste.

Common misconceptions. Confusing circular economy with circular flow of income; equating circularity only with recycling; assuming all material losses disappear.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Maintaining material value can reduce dependence on new inputs, preserve useful products and create opportunities for repair and recovery activities.

Counterarguments and conditions. Collection, redesign and recovery require resources; not every product can be endlessly reused. The balance depends on technical feasibility, participation and the value preserved.

Application. K: the Netherlands' 2050 ambition and OECD descriptions of repair and reuse provide concrete applications.

High-quality judgment. Weigh resource and production opportunities against transition and recovery constraints. No carbon-tax, externality or policy-effectiveness diagram is required.

Question 47

Hard | SL/HL | 25 marks

Topic 1.2: Circular economy; Economy, society and environment

(a) [10] Explain how recognising the interdependence of the economy, society and the environment can change the way economists frame a problem.

(b) [15] Using real-world examples, evaluate the view that environmental conditions should be treated as separate from economic analysis.

Part (a) - Indicative answer and marking guidance

Essential concepts. A circular economy seeks to maintain the value of products and materials through durability, reuse, repair and recovery. It differs from a linear extraction-use-disposal system and from the circular flow of income.

Required reasoning. Explain that production relies on natural inputs and affects environmental conditions, which in turn influence people's opportunities and well-being. Social arrangements shape who uses resources and who experiences the consequences. Trace the connections rather than listing three domains.

Common misconceptions. Treating the environment only as a free unlimited input; claiming every environmental judgment is purely scientific; requiring externality diagrams.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Separating domains can make a limited question manageable and can clarify specialised mechanisms.

Counterarguments and conditions. Ignoring connections can omit important constraints and consequences, producing misleading conclusions about economic success or sustainable choices.

Application. K: Dutch circular-economy planning explicitly links materials with economic, social and environmental concerns.

High-quality judgment. Distinguish useful analytical focus from the claim that environmental conditions have no economic relevance. Identify which connection matters in the chosen case.

Question 48

Medium | SL/HL | 25 marks

Topic 1.2: Circular economy; Resource efficiency and continued production

(a) [10] Explain how keeping products and materials in use can reduce the need for new resource extraction.

(b) [15] Using real-world examples, discuss whether a circular economy can allow continued economic activity with less pressure on natural resources.

Part (a) - Indicative answer and marking guidance

Essential concepts. A circular economy seeks to maintain the value of products and materials through durability, reuse, repair and recovery. It differs from a linear extraction-use-disposal system and from the circular flow of income.

Required reasoning. Trace a mechanism such as longer product life or reuse of materials from one production process in another. Explain the avoided replacement or new input requirement and acknowledge the resources used by recovery itself.

Common misconceptions. Assuming all recycling is costless; equating reduced extraction per product with a guaranteed fall in total extraction; claiming activity must cease to become circular.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Durability and material recovery can preserve useful services while reducing reliance on new extraction for a given level of activity.

Counterarguments and conditions. Increased scale can offset some per-unit savings, and energy needs or material quality losses can remain. Outcomes depend on what happens across the whole process.

Application. K: the Netherlands programme identifies repair, reuse and lower new-material requirements. OECD materials provide the wider resource-efficiency context.

High-quality judgment. Distinguish a potential reduction in resource intensity from a guaranteed absolute reduction in resource use. Quantitative growth or environmental accounting is unnecessary.

Question 49

Hard | SL/HL | 25 marks

Topic 1.2: Circular economy; A change in economic perspective

(a) [10] Explain why a circular-economy perspective may lead economists to question the treatment of waste as an unavoidable end of production.

(b) [15] Using real-world examples, discuss whether producers should bear more responsibility than consumers for reducing waste in a circular economy.

Part (a) - Indicative answer and marking guidance

Essential concepts. A circular economy seeks to maintain the value of products and materials through durability, reuse, repair and recovery. It differs from a linear extraction-use-disposal system and from the circular flow of income.

Required reasoning. Explain how product design, repair and material recovery turn some discarded outputs into potential resources and broaden analysis beyond the initial sale. Relate this reframing to changing economic and environmental conditions rather than claiming all waste has equal value.

Common misconceptions. Assuming every waste stream can be reused; confusing a new application with proof that all existing concepts are obsolete; requiring advanced environmental models.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Producers influence durability, repairability and material choices before consumers buy, so their decisions can enable or restrict later reuse.

Counterarguments and conditions. Consumers influence use, care, replacement and return of products. Available collection arrangements and cooperation between participants also matter; responsibility depends partly on practical control.

Application. K: Dutch circular-economy plans address companies and users, including repair, sharing and material recovery. Distinguish policy ambitions from verified outcomes.

High-quality judgment. Weigh control over waste prevention at different stages and the fairness of assigning responsibility. Detailed producer-responsibility instruments or environmental policy diagrams are not required.

Question 50

Medium | SL/HL | 25 marks

Topic 1.2: Models and theories; Historical development of economic thought

(a) [10] Explain how changes in real-world conditions and changes in research methods can each influence the development of economic thought.

(b) [15] Using real-world examples, discuss the view that newer economic ideas are necessarily superior to older economic ideas.

Part (a) - Indicative answer and marking guidance

Essential concepts. A model simplifies selected relationships for a purpose. Assumptions define its scope. Explanation, conditional prediction and policy comparison are different possible uses.

Required reasoning. Develop one route from new circumstances to a revised economic question and another from new evidence or method to revised explanation. Relate each to an identifiable development, such as a macroeconomic crisis or psychological experiments, without giving only a chronological list.

Common misconceptions. Equating novelty with truth; assuming old ideas cannot retain value; presenting economic thought as a sequence of fully unified schools with no internal debate.

Acceptable alternatives. Credit another accurate example or explanatory route that addresses the same mechanism; do not require the terminology of later syllabus topics.

Diagram guidance. No diagram is required for either part. Topic 1.2 specifies no compulsory diagram. Credit a relevant, correctly explained illustration, but do not require models from later topics. Flag illegible drawings rather than assuming correctness.

Part (b) - Indicative answer and marking guidance

Arguments. Later ideas may incorporate new evidence, recognise overlooked conditions and improve explanations for emerging problems.

Counterarguments and conditions. Age alone does not establish accuracy or relevance. Older mechanisms can remain useful, and newer ideas may be incompletely tested or suited to a narrower purpose.

Application. E and F show changing historical challenges; D illustrates new methods and interdisciplinary research; G provides an older account with continuing relevance.

High-quality judgment. Evaluate progress against explanatory clarity, evidence and fitness for purpose. Use comparisons rather than simply asserting that knowledge always improves.

Source register

Checked 19 October 2026. Cases are optional and sources establish factual or historical anchors; the teacher entries provide original analytical applications. Credit other accurate, well-developed real-world examples.

G1. IB Economics guide, first assessment 2022. Topic 1.2: printed pp. 23-24; Paper 1 structure and assessment guidance: pp. 60-65. Official publication hosted by an IB teaching site.

Open source

A. Bank of England, Forecasting for monetary policy making and communication: a review (12 April 2024). The review considers data, models, uncertainty, learning from errors and communication. Use as a methodology case, without requiring monetary-policy theory.

Open source

B. UK Government, The NHS Constitution for England (updated 2023). It identifies access by clinical need and effective, fair use of finite resources. These are explicit institutional priorities, not evidence that everyone has identical needs or receives identical care.

Open source

C. Department for Work and Pensions, Workplace pension participation and savings trends of employees: 2009 to 2025 (published 2026). The descriptive series covers participation after automatic enrolment and variation across groups. It is not, on its own, a controlled estimate of a single psychological mechanism.

Open source

D1. Royal Swedish Academy of Sciences, 2002 Economics Prize press release. It describes Kahneman's integration of psychological research and Vernon Smith's experimental methods. This supports the history of methods, not proof of every behavioural claim.

Open source

D2. Royal Swedish Academy of Sciences, 2017 Economics Prize press release. It describes Thaler's psychologically informed analysis, including social preferences. Entries labelled D may use either D1 or D2 as appropriate.

Open source

E. Federal Reserve History, The Great Depression. Institutional historical account of economic collapse, policy choices and changing understanding. It supports the crisis context, not a claim that the event proves a single school correct.

Open source

F. Federal Reserve History, The Great Inflation. It discusses changing policy assumptions and the importance of expectations. Use for the historical challenge to prevailing ideas; no detailed inflation model is required.

Open source

Source register - continued

G. Adam Smith, The Wealth of Nations, Book V, Chapter I, reproduced by Adam Smith Works. Primary text on government responsibilities, including justice and public works; a check against the claim that Smith rejected all government functions.

Open source

H. William Stanley Jevons, The Theory of Political Economy, Chapter III, reproduced by Econlib. Primary historical text on utility and the final increment. No mathematics from the text is required in this bank.

Open source

I. Jean-Baptiste Say, A Treatise on Political Economy, Book I, Chapter XV, Online Library of Liberty edition. Primary account of production, purchasing power and markets for products. Distinguish the original argument from oversimplified slogans.

Open source

J. Karl Marx, Wage Labour and Capital, Chapter 8, reproduced by Marxists Internet Archive. Primary historical text distinguishing workers' absolute income from their relative position. It is a statement of the critique, not independent confirmation of every empirical claim.

Open source

K1. OECD, Resource efficiency and circular economy. Institutional account of materials use and resource-efficient production. The bank uses the introductory interdependence and circularity concepts, not its detailed policy instruments.

Open source

K2. Government of the Netherlands, Circular economy by 2050. The policy ambition includes reuse, repair and reduced need for new materials. Entries labelled K may use K1 or K2. A stated target is not evidence it has already been achieved.

Open source

M. Robert L. Hetzel, What Remains of Milton Friedman's Monetarism?, Federal Reserve Bank of Richmond Working Paper 17-09 (2017), hosted by FRASER. Historical research on monetarism and the subsequent rational-expectations development.

Open source

N. Ford Motor Company, The Moving Assembly Line and the Five-Dollar Workday (2020). Company historical account of production change and higher worker pay. It provides an applied case; it does not establish equal gains to every worker and owner.

Open source

Final checks

50 matching numbered pairs; (a) 10 marks and (b) 15 marks; 10 Easy / 25 Medium / 15 Hard; all SL/HL; separate student and teacher documents; no compulsory diagrams or calculations. The student paper contains no marking guidance or difficulty labels. The syllabus depth and adapted evaluation status are disclosed in this guide.